

26STLC00099 26STLC00099

County: los-angeles

Division: Civil Law and Motion

Department: 26

Hearing date: 2026-09-22

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Case Number: 26STLC00099 Hearing Date: September 22, 2026 Dept: 26

TENTATIVE RULING:

Plaintiff Malcolm Bull is awarded attorney's fees of \$3,983.50 and costs of \$1,030.25, jointly and severally against Defendants Car Search USA and Westlake Services, LLC.

Analysis:

On January 7, 2026, Plaintiff Malcolm Bull ("Plaintiff") filed the instant action against Defendants Car Search USA ("Defendant Car Search"), Westlake Services, LLC dba Westlake Financial Services ("Defendant Westlake"), Merchants Bonding Company (Mutual) ("Defendant Merchants"). The Complaint alleges causes of action for (1) Violation of Consumers Legal Remedies Act, Civil Code § 1750 et seq; (2) Violation of California Business and Professions Code § 17200, et seq., Unlawful Acts or Practices; (3) Claim Against Surety; and (4) Violation of Code of Civil Procedure §§ 1281.97 & 1281.99.

Defendant Merchants

filed its Answer on March 4, 2026; Defendant Car Search filed a General Denial on March 16, 2026. On May 13, 2026, Plaintiff filed a Motion to Compel Arbitration, for Court to Pick Arbitration Forum, for an Order Confirming Defendants Car Search USA and Westlake Services, LLC are in Material Breach of the Arbitration Clause, an Order for Fees and Costs Associated with Arbitration, and Request for Stay. Defendant Car Search filed a Limited Opposition on August 4, 2026. Defendant Westlake has neither appeared in the action, nor filed an opposition to the instant Motion.

At the hearing on

August 18, 2026, the Court granted the Motion to Compel Arbitration, for Court to Pick Arbitration Forum, for an Order Confirming Defendants Car Search USA and Westlake Services, LLC are in Material Breach of the Arbitration Clause, an Order for Fees and Costs Associated with Arbitration, and Request for Stay. (Minute Order, 08/18/26.) However, the Court continued the question of the amount of attorney's fees and costs to be awarded and ordered the parties to file supplemental briefing. (Ibid.) Plaintiff filed a supplemental declaration on August 25, 2026, and Defendant Car Search USA filed a supplemental opposition on September 10, 2026, and on September 11, 2026.

Discussion

Plaintiff moves for an award of \$4,883.50 in attorney's fees and \$1,030.25 in costs. Plaintiff's request for costs is supported by the declaration of counsel, demonstrating that the costs were incurred for filing and service fees. (Motion, Sadr Decl., ¶18 and Exh. 1, p. 3.) The attorney's fees are based on time billed at \$750.00 per hour for 3.6 hours of time, \$500.00 per hour for 3.8 hours of time, and 2.1 hours of paralegal time billed at \$135.00 per hour. (Motion, Supp. Sadr Decl., ¶16 and Exh. 1.) The requested fees are supported by the declaration of Plaintiff's counsel attesting to 25 years of experience in consumer protection law to justify the rate of \$750.00, and 12 years of experience in the same field for the attorney who bills at \$500.00 per hour. Defendant Car Search USA's opposition argues that these rates are excessive for this type of case, based on defense counsel's rate of \$350.00 per hour. (Supp. Opp., Miller Decl., ¶12.) The Court agrees that this type of case does not warrant a billing rate of \$750.00. Plaintiff's counsel files numerous cases of this type in the Limited Civil Court and this particular action does not involve any unusual factual or legal issues. The \$750.00 hourly attorney rate, therefore, will be reduced to \$500.00, for a total award of \$3,983.50 in fees.

Defendant Car Search

USA also argues that the Court of Appeals has rejected treating the failure to pay arbitration fees within 30 days as an automatic forfeiture, and instead considered whether the nonpayment was willful, fraudulent, or grossly negligent before imposing harsh consequences, citing *Hohenshelt v. Superior Court* (2025) 18 Cal.5th 310, 346. *Hohenshelt* did not apply that inquiry to the requirement to pay reasonable expenses incurred as a result of the breach; it applied it to forfeiture of the right of

arbitration. (See *Hohenshelt*, 18 Cal.5th at 339-340 (“[S]ection 1281.99’s mandatory sanction provision . . . requires the drafting party to pay any reasonable expenses incurred by the employee or consumer as a result of its failure to timely pay arbitration fees (§ 1281.99, subd. (a)) — in essence, to make the other party whole (Civ. Code, § 3275) — whether the nonpayment was willful or not.”); see also *id.* at 339 (“Consistent with general contract law, a material breach is enough to trigger an award of compensatory damages, which the mandatory sanctions provision of section 1281.99, subdivision (a) provides for. But other consequences depend on the circumstances.”) Even if the standard did apply here, the time to raise the argument would have been in response to Plaintiff’s Motion to Compel. The only issue left for resolution in this briefing is the amount of the reasonable costs. As the Court stated in its August 18, 2026 Minute Order, “Plaintiffs have established the material breach, as discussed above, and are entitled to an order for payment of their fees and costs as set forth in Sections 1281.97(b)(2) and 1281.99(a). The Court continues the hearing on the amount to be awarded under Section 1281.99(a) as set forth below. The arbitrator may determine the reasonable fees and costs to be awarded under Section 1281.97(b)(2).” (Minute Order, 08/18/2026, p. 5 (emphasis added).)

Conclusion

Based on the foregoing, Plaintiff Malcolm Bull is awarded attorney’s fees of \$3,983.50 and costs of \$1,030.25, jointly and severally against Defendants Car Search USA and Westlake Services, LLC.

Moving party to give notice.